

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

**TZ SSE BUYER,
LLC V.
COSCO SHIPPING LINES CO., LTD.**

**RESPONDENT'S RESPONSES TO COMPLAINANT'S REPLY TO RESPONDENT'S
STATEMENT OF UNDISPUTED MATERIAL FACTS**

Respondent COSCO Shipping Lines Co., Ltd. ("Respondent" or "COSCO") responds to the March 26, 2025 Reply of TZ SSE Buyer, LLC ("Complainant" or "TZ SSE") to Respondent's Statement of Undisputed Material Facts, which Respondent filed in support of its Motion for Partial Summary Judgment. For ease of reference, we set out below the original undisputed fact, Complainant's reply (in bold), and Respondent's response (in bold italics).

1. On October 17, 2024, Complainant filed and served a Second Amended Verified Complaint ("Complaint") against Respondent, alleging violations of the Shipping Act. Complaint ¶11.

RESPONSE: Admitted.

REPLY: None.

2. The Complaint seeks reparations with respect to certain shipments transported by COSCO and allegedly destined to TZ SSE Buyer, LLC (f/k/a Impact Products, LLC and Safety Zone, LLC)("TZ SSE" or "Complainant"). Complaint ¶¶4, 14, 36.

RESPONSE: Admitted that the Complaint seeks reparations for certain shipments transported by COSCO. Denied as to the remainder, as the phrase "destined to TZ SSE Buyer, LLC" is vague and ambiguous. Without clarification, Complainant cannot admit or

deny this assertion.

REPLY: Complainant knows full well whether they were the intended recipient of the goods at issue, as evidenced, inter alia, by the fact that the Second Amended Complaint refers to Complainant (including its predecessors) as injured parties. If the shipments specified by Complainant were not intended for Complainant, such shipments should be dismissed.

3. The Complaint alleges, "COSCO assessed Supply Source with demurrage on 244 containers, detention charges on 15 containers, per diem charges or [sic] 73 containers, and yard storage charges on 312 containers. The total demurrage, detention, per diem, and yard storages charges total \$1,656,492.00." Complaint ¶14.

RESPONSE: Admitted that Paragraph 14 of the Complaint alleges that COSCO assessed Laufer with demurrage on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers, with total charges of \$1,656,492.00. Unable to admit or deny Respondent's restatement of part of this allegation, as it is unclear what is meant by the inclusion of "or [sic] 73 containers."

REPLY: The phrase "or 73 containers" appeared in the Second Amended Complaint [Cite Paragraph]. We must assume that Complainant understands its own Complaint. The phrase "[sic]" was used, as it often is, to indicate that an apparent typographical error appeared in the original.

3. Complainant has prepared and produced to Respondent, "a table which includes information on each container number for the charges [allegedly] wrongfully assessed by COSCO, as referenced in the Complaint." Complainant's Response to Respondent's Interrogatory No. 6. A copy of this table is attached hereto as EXHIBIT 1 [highlighted for ease of reference]).

RESPONSE: Admitted that Complainant provided a table containing information on each container and the associated bill of lading numbers. Denied to the extent that Respondent characterizes the charges as merely "allegedly" wrongful, as Complainant maintains that these charges were in fact wrongfully assessed by COSCO.

REPLY: Complainant's reply is too silly to require response.

4. The second line entry on the table refers to a shipment designated as Reference Number: LO1-149384.

RESPONSE: Admitted.

REPLY: None.

5. EXHIBIT 2 (Bates No. COSCO 0000566-COSCO 0000567)) is an email from Complainant's NVOCC (Laufer) to Complainant forwarding an Arrival Notice from COSCO for the shipment described in Paragraph 5 (Reference Number: L01-149384). This Arrival Notice demonstrates that the shipment (Reference Number: L01-149384) moved through a Canadian port, specifically, Prince Rupert, Canada. Information in this email shows:

- a. L01-149384
- b. COSCO Arrival Notice
- c. Bill of Lading Information
 - i. Bill of Lading Number: COSU6340048900
 - ii. Container Number: OOCU8178237
 - iii. Vessel Voyage: XIN YING KOU 217E
 - iv. Place of Receipt (POR): Xingang, Tianjin, Tianjin, China
 - v. Place of Loading (POL): Xingang
 - vi. Place of Discharge (POD): Prince Rupert
 - vii. Final Destination Hub (END): Chicago, Cook, Illinois,
United States
 - viii. E/ATA at POD: 17 Sep 2022 (Sat), 1921
 - ix. Request Reference: 538SF1I-de586274-07bf-ee1-
8182- 37b794c5e88e

RESPONSE: Admitted that EXHIBIT 2 (Bates No. COSCO 0000566-COSCO

0000567) is an email, but denied to the extent that Respondent misidentifies its sender and recipient. The email was sent by the former complainants' NVOCC (Laufer) to the former complainants, not the current Complainant.

Admitted that the Arrival Notice shows the shipment (Reference Number: L01-149384) transited through Prince Rupert, Canada. However, denied to the extent that Respondent implies this determines the shipment's final contractual destination. The bill of lading governing this shipment required COSCO to transport the cargo to its final destination hub in Chicago, Illinois, United States. See Exhibit 2, which contains the relevant bill of lading information confirming COSCO's obligation to transport the cargo for pickup in Chicago, Illinois, United States (COSCO_0000567).¹

6. *REPLY: Complainant's attempt to create a separate identity from its predecessors is inconsistent with its assertion that it is bringing this case on behalf of the former complainants. By assuming the former complainants' Complaint, they have put themselves in the position of being the former complainants. Anything sent to the former complainants must be deemed as sent to Complainant.* EXHIBIT 3 shows that other shipments covered by the Complaint were also transported by sea from a foreign country to a port in Canada and did not involve any U.S. port.

RESPONSE: Admitted that EXHIBIT 3 shows certain shipments covered by the Complaint were transported by sea from a foreign country to a port in Canada. Denied, however, to the extent that Respondent suggests this precludes FMC jurisdiction or establishes that the shipments did not have a U.S. destination. The relevant bills of lading confirm that these shipments were contractually required to continue to the United States. See Exhibit 3 (COSCO_0002261 and COSCO_0000263), which contains the relevant bill of lading information confirming COSCO's obligation to transport the cargo for pickup in Chicago, Illinois, United States.

REPLY: Complainant admits the only fact asserted by Respondent. The rest is simply speculation as to what Complainant believes Respondent "suggests."

Dated: April 1, 2025

Respectfully submitted,

¹ Complainant is in possession of certain Intermodal In-Transit Notices and Arrival Notices at Final Destination issued by COSCO, which relate to the bills of lading included in COSCO's exhibits. Complainant is prepared to present these documents to the Presiding Officer, should he find them relevant. If the Presiding Officer requests them, Complainant will first confer with COSCO regarding whether it intends to seek confidential treatment of the documents and, if so, the basis for such a motion.



JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Eric Jeffrey

EJeffrey@JeffreyFenneman.com

Rebecca Fenneman

RFenneman@JeffreyFenneman.com

Kaya Massey

KMassey@JeffreyFenneman.com

Nicholas L. Webb

NWebb@JeffreyFenneman.com

700 N. 12th Street, NW

Suite 700

Washington, DC 20005

(202) 904-2301

Attorneys for Respondent

CERTIFICATE OF SERVICE

I hereby certify that on this 1st day of April, 2025, a true and correct copy of the foregoing Respondent's Responses to Complainant's Responses to Respondent's Statement of Undisputed Material Facts was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

ATTORNEYS FOR COMPLAINANT:

CLARK HILL PLC

130 E. Randolph Street
Suite 3900
Chicago, IL 60601

Timothy R. Herman, Esq.
therman@clarkhill.com

R. Kevin Williams, Esq.
kwilliams@clarkhill.com

Michell Pacheco, Esq.
mpacheco@clarkhill.com



Kaya C. Massey